Activity 12 — Innovation Metrics — Designing KPIs That Change a Decision

Course	Fast-Track Innovations with Agile Design Thinking and Generative AI (GenAI)
WSQ Course Code	TGS-2024049781
Topic	Topic 04: Scaling and Sustaining Innovations with Agile Design Thinking and Generative AI
Duration	45 minutes · Group size: 3–5 participants
Tools	Padlet Classroom Board, ChatGPT or Microsoft Copilot

Learning Outcome Addressed

LO4 · A4 · K3 · K4 — Metrics and KPIs for measuring the success of innovation projects; resource management.

The Real Case

Two innovation programmes reported to the same board. Programme A reported ideas submitted, workshops run, staff trained and prototypes built — all rising quarter on quarter. Programme B reported one number: the change in the time it took a customer to complete an application, and the resulting drop in abandoned applications. When budgets tightened, Programme A could not answer the question 'what decision would we make differently if this number moved?' and was cut. Its metrics measured activity, not consequence. Douglas Hubbard's test is the sharpest available: 'If a measurement matters at all, it is because it must have some conceivable effect on decisions and behaviour.' Thoughtworks adds the distinction most teams miss — validating that a problem is real, that a solution works, and that there is demand for it are three separate concerns needing three different tests.

Your Scenario

You must present your innovation programme to a board that is deciding next year's budget. You have one slide and four numbers.

What You Will Do

Learners audit vanity metrics against Hubbard's decision test, build a balanced measurement set spanning customer, business and societal value, and separate problem, solution and demand validation.

What you will produce

A four-metric innovation scorecard where every metric passes the decision test, plus a stated validation plan distinguishing problem, solution and demand.

Step-by-Step Instructions

1. Open the Padlet classroom board, Activity 12 section.
2. List every metric your organisation currently uses to judge innovation. Be honest.
3. Apply Hubbard's test to each: 'what decision would change if this number moved?' Strike out every metric that fails.
4. Ask the AI: 'Propose 10 KPIs for an innovation programme, split into customer value, business value and societal value.'
5. Apply the decision test to the AI's list too. Note how many fail.
6. Build your four-metric scorecard: one customer, one business, one societal, one leading indicator.
7. For your concept, write one test each for problem validation, solution validation and demand validation.
8. Post your scorecard and challenge one metric on another group's board using Hubbard's test.

Discussion Questions

1. Apply Hubbard's test to 'number of ideas submitted'. What decision would change if it doubled? If none, why is it still so popular?
2. Separate problem validation, solution validation and demand validation. Give one test for each for your own concept.
3. Which is harder to measure — customer value, business value or societal value — and what happens when you only measure the easy one?
4. Your board wants a single number. What do you lose by giving them one, and how do you manage that?
5. How could GenAI help build this scorecard, and how could it help you fool yourself with it?

How You Know You Are Done

Every metric on your scorecard has a stated decision attached to it, and your three validation tests are genuinely different tests rather than three versions of the same one.

Debrief — What the Room Should Conclude

Almost every group's first draft contains at least one activity metric — ideas submitted, workshops run, people trained — because they are easy to collect and always go up. Hubbard's test kills them on contact: if no plausible movement in the number would change any decision, the number is decoration and it will not survive a budget review. The three-validation split is the other common gap: a successful prototype test proves the solution works for people who already have the problem, and says nothing about how many people have it or whether they will pay. Teams routinely present solution-validation evidence as if it were demand evidence, which is how confidently-built products launch to silence. On GenAI: it will happily generate a plausible, well-formatted scorecard in seconds, and that fluency is precisely the risk — a metric set that looks professional and measures nothing consequential is harder to challenge than an obviously bad one.